

What is a developing country?

There are number of different ways in which nations of the world are categorized. One of the broadest classifications is that of the three worlds. The first world is the advanced industrial economies including most of those of Europe, Canada, Australia, New Zealand and Japan. The second world is the communist countries of Eastern Europe, and the former Soviet Union. This leaves the third world as all the remaining countries of Africa, Asia and Latin America. An expression which is still in wide use is that of less developed countries (LDCs).

A developing country is one where real per capita income is low when compared with the industrialized countries such as the USA and JAPAN. Within this term there are distinctions. The very poorest such as Ethiopia and some other poor African countries are in fact, not developing at all for them the term must be a bitter irony. To those which have experienced rapid economic development in the last few decades such as Korea and Singapore, we give the name newly industrializing countries (NICs).

FEATURES/PROBLEMS of developing countries

1. Population: the developing nations account for about 80% of the population of the world but only about 16% of the total world output i.e. the less developed countries with few natural and capital resources have the largest population to support. This 80% of the population is concentrated in 54% of the land area. Population growth is centered in the developing nations. Advances in science have reduced infant mortality and increased life span but, as yet, birth rate remain high. Rapid population growth rate converts the expanding GDP in to stagnant or slow growing GDP per capita because of which the standard of living remains more or less unchanged.
 - Saving and investment: Large families reduce the capacity of households to save, restricting the economy's ability to accumulate capital.
 - Productivity: As population grows, more investment is required to maintain the amount of real capital per worker. If investment fails to keep pace, each worker will have lesser tools and equipment, reducing worker productivity. Declining productivity implies stagnating to declining per capita income.
 - Resource exploitation: Since most developed countries are heavily dependent on agriculture, rapid population growth may result in overuse of limited natural resources such as land.
 - Urban problems: Rapid population growth in the cities of the LDCs, accompanied by rural migration, is generating massive urban problems. Substandard housing, deteriorating public services, congestion, pollution, and crime are all problems worsened by rapid population growth. Many economists mentioned that unemployment is high - as much as 15% to 20% - in the rapidly growing urban areas of LDCs. There has been substantial migration into developing countries from rural to urban areas, motivated by the expectation on finding jobs with higher wage rates

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than are available in agricultural and other rural employments. But this huge migration makes it unlikely that a migrant will in fact obtain a job. Migration to the cities has greatly exceeded the urban job opportunities, resulting in very high urban unemployment rates. Thus, rapid urban migration has given rise to urban unemployment rates which are two to three times as great as rural rates.

2. Export dependence: many developing countries are 'one horse' economies, that is, they are very dependent for their export earnings on one or two products. It makes life unstable and unpredictable. For e.g. about 100% of Uganda's export earnings come from one crop, coffee, while Zambia is dependent for about 80% of its export earnings on copper. This can be fortunate for the country if the price of the product goes up and very unfortunate if it comes down. Either way it makes life unstable and unpredictable.
3. Concentration on agriculture: it is common to find 70% or more of the labor force engaged in agriculture, but, in spite of this high degree of specialization, productivity is extremely low. The drive to industrialize by many developing countries has often been highly damaging to agriculture especially in the poorest countries such as those of Sub-Saharan Africa. With a backward and run-down agricultural sector, with little or no rural infrastructure, many countries today face a food crisis of immense proportions.
4. Inadequate human resource: number of people matter so their training and experience. A well-developed entrepreneurial class, motivated and trained to organize resources for efficient production, is often missing in poor countries. The cause may be that managerial positions are aware on the basis of family status or political patronage; it may be the presence of economic or cultural attitudes that do not favor acquisition of wealth by organizing productive activities; or it may simply be the absence of the quality or quantity of education and training that is required.

In today's world, much production is knowledge-intensive. This puts a premium on well-educated workforce. The ability to read, do basic calculations, operate electronic equipment, and follow relatively complex instructions is important requirements for much modern labor. Failure to crease such essential labor skills can be an important cause of lack of growth.

Poor health is another cause of inadequate human resources. When labor force is healthy, less time is lost and more effective effort is expended.

Labor productivity tends to be very low in most LDCs because they have found it difficult to invest it physical capital. As a result their workers are under equipped with machinery and tools and are relatively unproductive. Rapid population growth tends to reduce the amount of physical capital available per worker which decreases labor productivity and real incomes. Low levels of literacy, malnutrition, absence of proper medical care, and insufficient educational facilities all contribute to populations ill equipped for economic development and industrialization.

5. Socio-cultural barriers: Economic considerations alone do not explain why an economy does or does not grow. Substantial social and institutional readjustments are usually an integral

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part of the growth process. Economic development means not only changes in the nation's physical environment (new transportation and communication facilities, new schools, new housing, new plant and equipment), but also changes in the way people think, behave and associate with one another. Traditions and habitual ways of doing business vary among societies, and not all are conducive to high productivity.

Often in developing countries, cultural forces are a source of inefficiency. Sometimes personal considerations of family, past favors, or traditional friendship are more important than market incentives in motivating behavior.

In a society in which people believe that it is more important who your father is than what you do, it may take generations to persuade employers and workers to change their attitudes. So in developing countries social, religious and cultural patterns of life often act as serious barriers to change development.

The pathetic economic circumstances in Somalia, Sudan, Liberia, Zaire and other sub-Saharan nations of Africa are due to marital and political conflicts among rival groups. The existence of a caste system causes to be allocated to occupations on the basis of caste or tradition rather than on the basis of skills and merit. The result is a misallocation of human resources. Political corruption and bribery are common in LDCs. School system and public service agencies are often poorly administered and their functioning impaired by petty politics. Tax systems are frequently arbitrary, unjust and cumbersome and are barriers to work and invest.

6. Inadequate financial institutions: the lack of an adequate, trustworthy and trusted system of financial institutions is often restraint on development. Many people in poor countries do not trust banks. Either they do not deposit, or feels they panic periodically, withdrawing their balances and seeking security for their money under mattresses, in gold, or in real estate. When banks cannot count on their deposits being left in the banking system, they cannot engage in the kind of long-term loans that are needed to finance investments. When this happens, savings do not become available for investment in productive capacity.
7. Capital accumulation: all LDCs suffer from the shortages of capital goods - factories, machinery, and equipment, public utilities and so forth. Increasing the stock of capital goods is crucial because of very limited possibility of increasing the supply of land. If there is little likelihood of increasing agricultural output by increasing the supply of land, an alternative is to use more and better capital equipment with the available agricultural workforce.

As less developed nation accumulated capital through saving and investment. A nation must save to generate enough investments for capital accumulations by the LDCs are unable to generate funds for capital accumulation as they are caught in the 'vicious circle of poverty'. The rate of capital accumulation can only be increased if there is a rate of increase in the saving, but an increase in savings requires an increase in income and increase in income requires an increase in investment!

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The current levels of income cannot possibly provide the necessary savings. One alternative is to raise the necessary funds by means of taxation (i.e. forces savings), but taxes are difficult to collect in most developing countries and, in case, the tax base is very narrow. There is a temptation for governments to finance investment by expanding the money supply, but this would only lead to inflation.

Some of the very poor countries such as Ethiopia, Bangladesh, Uganda and Haiti save only from 2 to 5% of their domestic outputs. They are too poor to save a significant portion of their incomes. Interestingly, however, other less developed countries save as large a percentage of their domestic output as do advanced industrial countries, but the problem is that the domestic outputs of the LDCs are so low that even when saving rates are comparable to advanced nations, the total absolute volume of saving is not large.

The investment side of capital formation abounds with equally serious obstacles. These obstacles undermine the rate of capital formation even when a sufficient volume of sign is available to finance the needed investment. In some less developed countries the major obstacle to investment is the lack of business executives willing to assume the risks associated with investment. Other investment obstacles are political insatiability and higher rates of inflation.

Finally, many LDCs simply do not have an adequate infrastructure, that is, public capital goods, which are pre-requisites to private investment of a productive nature. Poor roads and bridges, inadequate railways, little gas and electricity of a productive nature, poor communication services, unsatisfactory housing and weaker educational and public health facilities scarcely provide an inviting environment for investment spending. It is significant that approximately four-fifth of the investment of multinational companies goes to developed countries.

8. Natural resources: many of the developing countries are in tropical and sub-tropical regions where soils are fragile and climatic conditions unfavorable to many agricultural activities. Massive investment in programs for soil conservation, irrigation, and the control of pests and the use of fertilizers are needed in order to raise the productivity of land. There is no simple generalization as to the role of natural resources in the economic development of LDCs. This is because the distribution of natural resources among these nations is very uneven. Some less developed nations have valuable deposits of bauxite, tin, copper, tungsten, nitrates and petroleum. Some LDCs have been able to use their natural resources endowments to achieve rapid growth and a significant redistribution of income from the rich to the poor nations. The organization of petroleum exporting countries (OPEC) is a standard example. On the other hand, in many cases natural resources are owned or controlled by the multinational corporations of industrially advanced countries (IACs), with economic benefits from these resources largely diverted abroad. Furthermore, world markets from any of the farm products and raw materials which the LDCs export are subject to great price fluctuations which contribute to instability in their economies.

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9. The international debt problem: The oil price rise in 1973 increased the import bills of these developing countries which did not produce oil. It also slowed down the growth of their export markets as these countries were adversely affected by the increase in the price of oil. Many developing countries tried to maintain their growth rates by the increase in the price of oil. Many developing countries tried to maintain their growth rates by borrowing from commercial banks in developed countries. These banks had funds to lend because many oil-exporting countries placed their surpluses in bank deposits. Some oil-producing countries also borrowed heavily to finance programs of expansion. After the second oil price rise in 1979, developing countries increased their borrowings to finance larger and larger current account deficits. The share of banks borrowing in total finance rose to over 70% and became increasingly short-term as banks become more reluctant to lend. Industrialized countries reacted to the 1979 rise in oil prices by restricting demand in order to reduce inflationary pressures, and interest rate increased. Export earnings of developing countries were restricted, and costs of servicing their external debts were increased. The total external debt of developing countries rose to \$670 billion in 1983. The five largest debts (Mexico, Brazil, Argentina, South Korea and Venezuela) accounted for half of the total.

Development strategies: There is a debate about the most effective way for developing countries to advance. Among the strategies considered are:

1. Increasing primary production: If the developing countries concentrate on increasing their efficiencies in primary production, they face the problem that most of these products have very inelastic demand. A large increase in world supplies might well reduce the income of the poorer countries. Primary products also tend to fluctuate significantly in price because both their demand and supply are usually inelastic.
2. Industrialization through import substitution: The aim here would be to allow infant industries to grow and establish a comparative advantage behind a protective wall of import controls. Imports would be replaced by domestic goods and the industrial structure would be diversified. There is a risk with this method that the domestic industries may come to rely on protection and not improve their efficiency.
3. Promoting export-led growth: As an economy develops its exports are likely to change from primary products, to labor-intensive low quality manufactured goods and later to high-quality manufactured goods. Competing in world markets will generate income and stimulate firms to increase their efficiency and competitiveness.
4. Borrowing from abroad: Funds borrowed from overseas countries can be used to invest in physical and human capital thereby raising productivity. However, developing countries have often run into problems following this approach. For instance in 1980s a number of countries got into serious debt problems for a variety of reasons including a fall in the price of primary products and a rise in interest rates.

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5. Relying on foreign aid: Assistance from abroad can enable developing countries to improve their infrastructure, their capital stock and their education, training and health systems. However, aid has not always been appropriate and has not always improved living standards. For instance, providing high technology capital to a very poor, agricultural and over-populated country may not be very useful as it will need an educated and trained labor force to operate it.

Foreign aid

There are three motives for providing economic aid to the developing world.

1. Humanitarian motives: Humanitarianism demands that the fortunate minority should give some of their income to those who have so little.
2. Political motives: Both the communist and non-communist worlds have given some economic aid in the hope that it will help to win the political allegiance of the recipients.
3. Economic motives: If the developing countries succeed in escaping from the poverty trap and achieve faster rates of economic growth, they will be able to enter more fully into international trade and provide growing markets for the outputs of other countries.

Forms of aid

The United Nations considers that economic aid consist of outright grants and long-term loans for non-military purposes. The chief aid-giving countries, however, take a much broader view and include private capital investment and export credits. In fact the term 'aid' is being increasingly replaced by the term 'development assistance'. Economic aid may take several forms

1. Gifts of consumer consisted of the free distribution of American and EU stockpiles of foodstuffs (e.g. wheat), however, the large scale release of such commodities may upset world prices and affect the earnings of other products.
2. Loans and grants: Loans may be arranged on commercial terms (i.e. at market rates of interest) or on concessionary terms (i.e. at interest rates will below market rates). Grants and loans may be allocated to a specific project, or tied to exports form donor country, or without any such conditions. Grants and concessionary loans tend to take the form of official assistance, that is, they are supplied on a government to government basis.
3. Direct investment: This, as the name implies, consists of the establishment of factories, mines, plantations, hotels etc. In some cases direct investment takes the form of a joint venture, the government of the developing country acquire part ownership of the new installations.
4. Technical and direct assistance: The advanced nations provide technical experts to advise and assist the developing countries in their efforts to achieve growth. In many cases the industrial nations have undertaken the building of such projects as steel works and power

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stations as direct form of aid. They also provide technical training programs for students from developing countries.

5. Education: Most of the wealthier nations provide facilities for overseas students to attend universities and college and provide them with scholarships. In additions they send teachers and instructors overseas.
6. Specialist services: The World Bank, IMF, and United Nations as well as individual countries carry out economic surveys for, and offer a variety of financial, technical, and advisory services to developing countries.
7. Trade: Efforts to increase the productive capacity of the poorer countries will only be effective if these nations are able to increase their exports. It does not make much sense for the advance nations to assist the economic development of the poorer countries and then to exclude their exports on the grounds that they are the products of low-wage labor. If these countries are to earn their way out of poverty rather than become permanent recipients of aid, they must grant wider opportunities to sell their products in overseas markets. There is a strong case, on economic grounds, for granting them preferential treatment in world markers such policies run into trouble when exports from developing countries cause redundancies in the developed countries.

Criticisms

1. Dependency and incentives: A basic criticism is that, like domestic welfare programs, foreign aid many generate dependency rather than self-sustaining growth. Critics say that after some five decades of foreign aid, the LDCs demand for foreign aid has increased; if aid programs have been successful in promoting sustainable growth, demand should have fallen.
2. Bureaucracy and centralized government: Developed countries do not directly give aid to the residents and businesses of the LDCs but rather to their governments. The direct consequence is that aid typically generate massive, relatively unproductive government bureaucracies and centralizes government poor over the economy.
3. Corruption and misuse: Critics also allege that foreign aid is inefficiently used. LDCs and some estimates suggest 10 to 20 % of aid is diverted into the pockets of the government officials. Foreign aid may create an incentive for LDC leaders to keep their populations poor so they continue to qualify for aid.

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